

ogy in a world gone mad for gambling. But at other times it's not necessarily the industry leaders that will benefit most from a trend. For example, if you think energy prices are going to rise, you probably want to own oil producers; but if you think energy prices are likely to fall, you should invest in companies that are heavy users of energy, like the airlines, or will benefit from its cheapness, like hotels, resorts, and recreational vehicles. You have to think through whose earnings should get the biggest boost. In a gold rush it's not the miners who get rich but those who sell the prospectors their pants.

An Unclouded Crystal Ball

How does one identify investment themes? As Sherlock Holmes, with his usual maddening superiority, chastised Watson, "You see but you do not observe." The investor has to develop an observing mind-set and get in the habit of looking for trends in his reading and experience. Perhaps a newspaper account of what's going on in the job market will suggest a thriving area of the economy that can lead to an investment opportunity. Thinking about the fact that so many of the fastest-growing cities—Phoenix, Las Vegas, Palm Springs—are built in deserts, I began to wonder what they do for water, which led me to invest in Western Water, a company that had been thinking along the same lines. You might spot a trend developing in your own line of work, or pick up something from trade journals, which usually report on trends before they make the newspapers. Driving around town and seeing the number of cars parked in front of Toys "R" Us might have alerted you to watch out for the next superstores, so that you made a lot of money in Home Depot, Staples, Sports Authority, and Borders. You have to train yourself to make generalizations from random particulars, to keep asking yourself, "What does this mean?"

Sometimes the themes are staring you in the face. A number of